

REJIGGING THE AC MANUFACTURING ECO-SYSTEM

Although the industry still depends on imports for components, a key driver to put the market on a more competitive edge in 2022 has been the government's introduction in 2021 of its Product Linked Incentive Scheme (PIL) scheme for white goods. A total of 52 companies have filed applications with Department for Promotion of Industry and Internal Trade, with a committed investment of Rs 5,866 crore under the PLI scheme to incentivize the domestic manufacturing of components of White Goods (air conditioners and LED lights). As revealed by DPIIT 31 companies have committed investments of about Rs 4995 cr for AC components. Air conditioning biggies such as Daikin, Panasonic, Hitachi, Voltas, Blue Star, Havells, etc have applied for manufacturing critical components of air conditioners, which will align with the government's plan to create a complete component ecosystem for the air conditioner industry in India and help bring the country into the global supply chains. Imports of components too are expected to decline by 30 percent with this move.

PRODUCTS PORTFOLIOS

The competitive edge in the burgeoning AC market can be gauged from the stream of new products, being introduced for this summer even more aggressively as companies strive to protect their market shares. Driven by the early arrival of summer, and with demand strong across all market segments, industry is envisaging a double-digit growth this year.

An interesting scenario is emerging in the industry with the expanding market size and the growing relevance of smart gadgets in response to consumer demand. A range of sophisticated features are being brought in by the new models– motion sensors which detect human presence, remote-controlled operation, automated timers that are pre-set to control functioning, air purifiers that discharge odourless and bacteria free air etc. ACs today are all about creating benefits for both the environment and customers with the aim to be save energy and reduce ozone-harming elements.

PANDEMIC BLUES AND HEALTHCARE

Like in all industrial sectors in India, the production and manufacturing of air conditioners bore the brunt of the Covid-19 pandemic. In the light of itinerant lockdowns, demand and supply in the air-conditioner market took a beating because manufacturer was brought to a stand still for some time, though things are picking up a bit with the pandemic considerably on the wane in recent months. Supply chains too were disrupted, creating a considerable negative impact on market growth for a short period.

Mr. Fumiyasu Fujimori, Managing Director, Panasonic Marketing India, sharing his views on India's air-conditioning market, points out that, consumers across rural and urban spaces have now adjusted to a post-pandemic lifestyle in which safety and hygiene is taking precedence in their purchase decisions. *"With 'home as the hub' becoming the norm, we are seeing a rise in demand for value proposition appliances that offer health and hygiene, are easy to use (allowing them to multi-task), energy-efficient and connected (smart). At Panasonic, we have always believed that wellness begins at home,"* says Mr Fujimori. Elaborating further, he shared, with this in mind, Panasonic - a leading diversified technology company, with an expertise of over 60 years of manufacturing Air Conditioners, has introduced innovative technologies like nanoe™X and nanoe-G in its air conditioners to ensure a healthier indoor Air Quality Index (AQI). Panasonic's proprietary nanoe™X technology releases hydroxyl radicals (also known as "nature's detergent") contained in water that are capable of inhibiting bacteria and viruses, and removes 99% of PM 2.5 particles, allowing healthy indoor air quality. Similarly, the nanoe™G technology works on the principle of ionizer technology for the air purification. The air conditioner uses a suction airflow to draw in dust and collect it in an air filter. For as long as the air conditioner is active, the air in the room is being constantly cleaned. "Panasonic ACs are the leading brand in Japan, Hong Kong and Vietnam known for its path breaking technology that offer– safety, comfort, convenience and durability," Says Mr. Fumiyasu Fujimori, Managing Director, Panasonic Marketing India



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